



“Competition has come a bit late, but it is also coming at a time when EV prices are closer to ICE vehicle prices because of the overall cost structure coming down”

SHAILESH CHANDRA
MD, TATA MOTORS



“MG Motor sees India as a huge growth avenue. As China slows, and the situation in Europe remains uncertain, real growth is coming from India”

PARTH JINDAL
DIRECTOR, JSW MG
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the latter's US visit in February, the government is considering reducing import duties while mandating a target of ₹2,500 crore in sales by the second year for global EV makers such as Tesla, media reports said.

IMPORT RELIANCE

Indian automakers, like their US and European counterparts, rely heavily on China for lithium-ion batteries. A staggering 75% of India's lithium-ion batteries come from China.

EV adoption makes economic sense for an oil-dependent India, rich in renewable energy sources and coal, but high import reliance—especially on nations with which it runs large trade deficits—poses a chal-

lenge, warned the 2024-25 Economic Survey.

To cut dependence on China, the government has exempted customs duty on lithium-ion battery waste, cobalt scrap, lead, zinc, and 12 critical minerals, likely lowering EV costs. “Cheaper imports will boost affordability, while domestic investments in minerals, batteries, and electrolytes will drive self-reliance,” says Grant Thornton's Mehra.

Vinayak Walimbe of India Energy Storage Alliance, which promotes electric mobility, added that duty cuts on cobalt and lithium will slash raw material costs, improve profit margins, and enhance competitiveness.

Even so, says Shamsheer Diwan, Senior Vice President and Group Head, of Corporate Ratings at ICRA Ltd, India's reliance on China in terms of technology and supply chain will remain high over the next five years.

“I think it's almost impossible to ignore China or have it out of the equation when it comes to adopting technology on the EV battery cell side,” says Diwan.

“...most of the investments which are happening in India towards manufacturing battery cells, directly or indirectly, rely on the entire value chain that currently exists in China,” he adds.

GLOBAL PICTURE

China's dominance in the EV market is undeniable. In 2024, global EV sales surged 25% to 17.1 million, but China outpaced the world with 40% growth, hitting 11 million units. Europe's EV market shrank by 3%, and North America's grew by a modest 9%.

Leading the charge is BYD, founded in 1995 by Wang Chuanfu, with record-breaking sales of 4.2 million new energy vehicles. Battery EV sales alone jumped 12% to 1.76 million units. Thanks to aggressive pricing and exports, BYD outperformed Honda Motor Co, whose sales fell 11.4% to 4.1 million, and Ford Motor Co., which grew just 6% to 2 million units. Sales by other Chinese automakers are also surging, up nearly 10% to 1.54 million units in CY24.

China's EV dominance has forced the US and Europe to protect domestic entities. Analysts say the geopolitical shift presents an opportunity for India to bolster its own EV industry.

“For Indian automakers, these shifts present both challenges and opportunities. While increased trade barriers may disrupt global EV supply chains, they also create space for India to strengthen its domestic EV industry... Indian manufacturers must focus on localisation, cost efficiency, and policy-driven growth to remain competitive in both domestic and global markets,” says Mehra. **BT**

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